

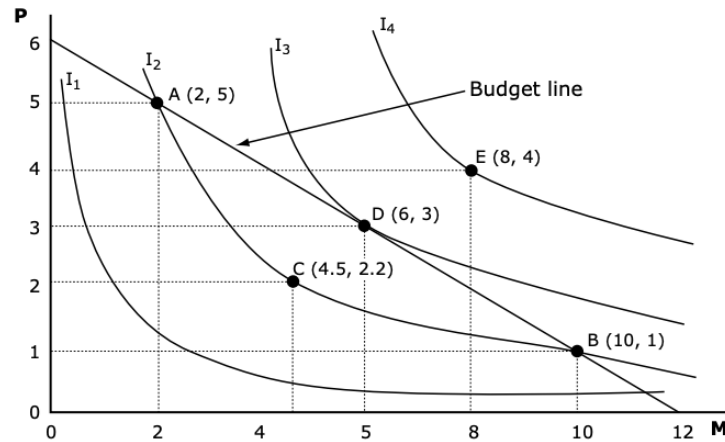
Seminar Quiz 3

The Economy

Sciences Po Paris - Reims

15 minutes. No extra papers. You are free to use calculators.

Exercise 1



1. Recall the budget line / indifference curves of the Pizza-Movies example above. Give the optimal bundle(s) and briefly explain why. (2 points)

D is the only optimal bundle because

- it's on the budget line
- it's on the highest affordable indifference curve

2. Give two properties of indifference curves. Draw an indifference curve (or multiple curves) that would violate at least one property. (3 points)

1. non-satiation

2. transitivity

see **S4 slide 9** for violation of indifference curve properties.

Exercise 2

		Bob	
		Opera	Football
2* Alice	Opera	(4, 1)	(0, 0)
	Football	(0, 0)	(1, 4)

1. Consider the Battle of the Sexes game above. Find the Nash Equilibrium / Equilibria and the Pareto optimal outcome(s). Do not make comments, just specify the answers. (3 points)

NE: O,O and F,F

Pareto optimal: O,O and F,F

2. Which of the following statements is true for the game above? (2 points)

A) There is a strictly dominant strategy for Alice.

B) There is a strictly dominant strategy for Bob.

C) Both have a strictly dominant strategy.

D) Neither of them have a strictly dominant strategy.